

Daily chart. I used the daily chart to find the pattern, but I am sure they come out like worms after a heavy rain on most any time scale. The longer ones appear on the weekly chart, but I did not check the intraday chart to see what they looked like or how they perform.

Smooth top. I ignored those patterns with a sharp or pointed top, but did allow a few that had a one-day tail shooting out the top. They reminded me of a single tree on a hilltop. As long as the hilltop looks smooth, then your selection is fine.

At the round top of the pattern, sometimes a line connecting the daily low prices and not the daily highs appears smoother. You can see (but it might be difficult) this situation in [Figure 58.2](#). Two short trees peek out from the hilltop at the top of the scallop and the pattern would appear better if a logger came along and harvested them. If you connect the low prices, the turn is smoother than if you connect the high prices.

Retrace. The pattern begins at point A, tops out at B, and retraces to end at C. The average retrace from B to C when compared to the AB length is 54%. This retrace amount varies widely but in no case must the low at C drop below A. If it does, then look for another scallop.